Superior Court of the State of California, County of Orange

TENTATIVE RULINGS FOR DEPARTMENT C16

HON. JUDGE CARMEN R. LUEGE

Date: May 29th, 2026
Posted: May 28th, 4:30 PM

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative Rulings: The Court will endeavor to post tentative rulings on the Court's website by 4:30 p.m. on Thursday. Do NOT call the Department for a tentative ruling if none is posted. **The Court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been posted.**

Submitting on the Tentative Ruling: If ALL counsel intend to submit on the tentative ruling and do not wish oral argument, please advise the Court's clerk or courtroom attendant by calling (657) 622-5216. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give Notice of Ruling and prepare an Order for the Court's signature if appropriate under CRC 3.1312. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling.

Remote Appearances: Department C16 permits non-evidentiary proceedings, including law and motion, to be conducted remotely. *If you are appearing remotely*: (1) all counsel and self-represented parties appearing for such hearings **must,** prior to 10:00 a.m. on Friday, check-in online via the Court's civil video appearance website at Civil Appearance Procedure and Information | Superior Court of California | County of Orange (occourts.org); (2) participants will then be prompted to join the courtroom's Zoom hearing session; and (3) the calendar will be displayed and participants will then be instructed to rename their Zoom name to include their hearing's calendar number. Check-in instructions and an instructional video are available on the court's website. Attorneys **shall** comply with Local Rule 375(c) which governs "Decorum for In-Person and Remote Court Appearances." (https://www.occourts.org/system/files/hr/div3.pdf.)

#	Case Name	Tentative
49	**Ware Malcomb vs. Rogerson Capital** **24-01440256**	**Motion to Be Relieved as Counsel of Record** NO TENTATIVE RULING – Parties to appear on Zoom or in-person.
51	**Robinson vs. Laguna Beach House** **23-01317797**	**Motion for Leave to File Amended Complaint** Plaintiff Paul Robinson's motion for leave to file a First Amended Complaint ("FAC") is GRANTED. Code of Civil Procedure section 473, subdivision (a)(1), provides that "the court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding…" (Code Civ. Proc., § 473, subd. (a)(1).) Courts are bound to apply a policy of great liberality in permitting amendments to the pleadings "at any stage of the proceedings, up to and including trial" absent prejudice to the adverse party. (*Atkinson v. Elk Corp*. (2003) 109 Cal.App.4th 739, 761.) The policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified: "If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend; and, where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion." (*Morgan v. Superior Court* (1959) 172 Cal.App.2d 527.) "Generally, leave to amend should be liberally granted. However, unwarranted delay justifies denial of leave to amend. [Citations.] And the liberal policy favoring leave to amend 'applies " 'only "[w]here no prejudice is shown to the adverse party." ' " ' [Citation.] Prejudice exists where the proposed amendment would require delaying the trial, resulting in added costs of preparation and increased discovery burdens. [Citation.]" (*Miles v. City of Los Angeles* (2020) 56 Cal.App.5th 728, 739.) Defendant Laguna Beach House ("Defendant Hotel") contends Plaintiff's delay in seeking leave to file the proposed FAC is unwarranted. Here, Plaintiff learned of the Doe Defendants Plaintiff seeks to add in June 2025 and October 2025. (See Alexander Decl. ¶¶ 2 and 16, Exhs. B and I.) During the ensuing months, Plaintiff and Defendant Hotel engaged in settlement discussions. (*Id*. at ¶¶ 6-10.) On September 25, 2025, Plaintiff requested Defendant Hotel to stipulate to Plaintiff adding the Doe Defendants to the Complaint; Defendant Hotel failed to respond. (*Id*. at ¶ 11.) Plaintiff applied ex parte to leave to amend the Complaint on February 19, 2026 and filed the instant motion on March 11, 2026. (ROA 53.) Although Plaintiff could have requested leave to amend more promptly, Plaintiff's delay is not unwarranted, particularly when Defendant Hotel's lack of communication is considered. Trial is currently set for September 14, 2026. Discovery is not yet closed and appears to be in its early stages. (See Alexander Decl. ¶ 21.) The motion for leave to file an amended complaint is granted. Plaintiff is ordered to file and serve the First Amended Complaint attached as Exhibit A to the Declaration of Barret T. Alexander by June 5, 2026. Plaintiff to give notice.

52	**Murray vs. Tesla, Inc.** **25-01457562**	**Motion for Order to Stay Proceedings** The Motion for Stay brought by Defendants Tesla, Inc. and Tesla Energy Operations, Inc. is GRANTED. The relevant arbitration provision states: "The laws of the state where your Home is located shall govern this PPA without giving effect to conflict of law principles." (¶4 of Klimkowski Declaration and Exhibit B thereto, at §18; See also ¶16 of Complaint and Exhibit A thereto.) The arbitration provision proceeds to indicate arbitration will be administered by JAMS, and thereafter states: "The arbitration will be governed by the Federal Arbitration Act (Title 9 of the U.S. Code)." (*Ibid.*) Given the arbitration provision references *both* the FAA and "[t]he laws of the state where your Home is located" (in this case indisputably California), the provision does not clearly communicate intent to apply the FAA "to the exclusion of California procedural law." (*Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 383.) "[W]here, as here, the parties do not '*expressly* designate that any arbitration proceeding should move forward under the FAA's procedural provisions rather than under state procedural law' [Citation], California procedures necessarily apply." (*Los Angeles Unified School Dist. v. Safety National Casualty Corp.* (2017) 13 Cal.App.5th 471, 482.) Notably, the *broad* reference to "[t]he laws of the state where your Home is located" is itself included within the arbitration provision, merely two sentences before the reference to the FAA. (¶4 of Klimkowski Declaration and Exhibit B thereto, at §18; See also ¶16 of Complaint and Exhibit A thereto.) The location of the above-mentioned choice-of-law provision indicates an intent for both California law and the FAA to apply to arbitration; however, the intention of the parties where, as here, the CAA and FAA directly conflict – is unclear. Regardless of the above, however, the Court exercises its inherent authority to stay this action. "[A] court ordinarily has inherent power, in its discretion, to stay proceedings when such a stay will accommodate the ends of justice." (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 141.) While Code of Civil Procedure section 1294, subdivision (a), indicates an *automatic* stay does not attach, even assuming its application, the provision does not limit the Court's inherent ability to issue a stay. "Even when the statutes do not call for an automatic stay on appeal, the trial and appellate courts both have the power to issue discretionary stays." (*Daly v. San Bernardino County Bd. of Supervisors* (2021) 11 Cal.5th 1030, 1039.) Here, the reasoning provided by the United States Supreme Court in *Coinbase, Inc. v. Bielski* (2023) 599 U.S. 736 is persuasive: "If the district court could move forward with pre-trial and trial proceedings while the appeal on arbitrability was ongoing, then many of the asserted benefits of arbitration (efficiency, less expense, less intrusive discovery, and the like) would be irretrievably lost – even if the court of appeals later concluded that the case actually had belonged in arbitration all along." (*Coinbase, Inc. v. Bielski* (2023) 599 U.S. 736, 743.)

		"From the Judiciary's institutional perspective, moreover, allowing a case to proceed simultaneously in the district court and the court of appeals creates the possibility that the district court will waste scarce judicial resources – which could be devoted to other pressing criminal or civil matters – on a dispute that will ultimately head to arbitration in any event. That scenario represents the 'worst possible outcome' for parties and the courts: litigating a dispute in the district court only for the court of appeals to 'reverse and order the dispute arbitrated.'" (*Coinbase, Inc. v. Bielski* (2023) 599 U.S. 736, 743.) Here, while it is true that a stay of this action will delay Plaintiffs' ability to recoup losses from Defendants, a stay would also avoid the possibility of Plaintiffs being forced to expend financial resources to litigate both, before this court, and potentially within arbitration, depending on the outcome of the appeal. In opposition to a stay, Plaintiffs submit the Declaration of Yvonne Aivan Murray, who declares: "[T]here is no way we will be able to afford to retain appellate counsel if this Court were to grant Tesla's motion to stay…." (¶3 of Murray Declaration); however, the need for appellate counsel is unaffected by the outcome of this motion, as this motion will have no effect on the appeal being pursued by Defendants. Given the appeal is being pursued regardless, staying this action will only reduce the financial burden placed on Plaintiffs, as it will prevent simultaneous litigation.
53	**Scott vs. Placentia – Yorba Linda Unified School District** **25-01489479**	**Demurrer to Amended Complaint** Defendant Placentia-Yorba Linda Unified School District's Demurrer to first and second causes of action contained in Plaintiff Beth Scott's First Amended Complaint is SUSTAINED with leave to amend. ***General Legal Authority*** To bring any cause of action or lawsuit against a public entity, the plaintiff must have statutory authority to do so: "Except as otherwise provided by statute … [a] public entity is not liable for an injury, whether such injury arises out of an act or omission of the public entity or a public employee or any other person." (Gov't Code § 815(a).) By statute, a public entity is vicariously liable "for injury proximately caused by an act or omission of an employee of the public entity within the scope of his employment if the act or omission would, apart from this section, have given rise to a cause of action against that employee or his personal representative." (Gov't Code § 815.2.) Further, a public entity may itself be liable for violating a mandatory duty imposed by statute: Where a public entity is under a mandatory duty imposed by an enactment that is designed to protect against the risk of a particular kind of injury, the public entity is liable for an injury of that kind proximately caused by its failure to discharge the duty unless the public entity establishes that it exercised reasonable diligence to discharge the duty. (Gov't Code § 815.6.) Moreover, in order to state a cause of action against a public entity, "every fact material to the existence of its statutory liability must be pleaded with

particularity." (*Lopez v. Southern California Rapid Transit District* (1985) 40 Cal.3d 780, 795.) A cause of action against a government entity must specify the statutory basis for liability. (Weil & Brown, Civ. Proc. Before Trial, Ch. 6-B, § 6:199.11, citing *Searcy v. Hemet Unified School Dist*. (1986) 177 Cal.App.3d 792, 802, and *Susman v. City of Los Angeles* (1969) 269 Cal.App.2d 803, 809.)

First Cause of Action for Breach of Contract (Education Code § 44951)

"The essential elements of a claim of breach of contract, whether express or implied, are the contract, plaintiff's performance or excuse for nonperformance, defendant's breach, and the resulting damages to plaintiff." (*San Mateo Union High School Dist. v. County of San Mateo* (2013) 213 Cal.App.4th 418, 439.)

California public employment is held not by contract, but by statute. (*Kim v. Regents of University of California* (2000) 80 Cal.App.4th 160, 164, citing *Miller v. State of California* (1977) 18 Cal.3d 808, 813.) Civil service employees cannot state a cause of action for breach of contract. (*Id*., citing *Shoemaker v. Myers* (1990) 52 Cal.3d 1, 23–24.) This same general principle applies to civil service and noncivil service public employees alike. (*Id*., citing *Hill v. City of Long Beach* (1995) 33 Cal.App.4th 1684, 1690.)

Education Code section 44951 requires a school district to provide written notice by March 15 to a certificated employee serving in an administrative or supervisory position that the employee may be released from that position for the following school year; absent timely notice, the employee is entitled to continue in the position. (Ed. Code, § 44951; see *Hayes v. Temecula Valley Unified School Dist*. (2018) 21 Cal.App.5th 735, 739-740, 747-748.)

The First Amended Complaint (FAC) alleges that in or about March 2024, Plaintiff received and signed a February 29, 2024 "NOTICE OF RELEASE/REASSIGNMENT from Administrative Position" stating: "Pursuant to California Education Code section 44951, notice is hereby given that you will be released from your current administrative position as Counselor on Special Assignment, effective June 20, 2024, and will be reassigned to a certificated position for the 2024-25 school year for which you are qualified, consistent with your credentialing. The District will notify you of your assignment for the 2024-25 school year before June 30, 2024. The Board of Trustees authorized the issuance of this notice at its meeting on January 16, 2024." (FAC ¶ 27.) The FAC further alleges Defendant later refused to honor the reassignment described in the notice, which Plaintiff contends violated Education Code section 44951 and caused her damages. (FAC ¶¶ 29-30.)

The FAC fails to adequately allege a cause of action for breach of contract or violation of Education Code section 44951.

The February 29, 2024 letter was not a contract, but was issued pursuant to Education Code section 44951, which governs the statutory notice procedure for releasing a certificated employee holding a position requiring an administrative or supervisory credential from that position for the following school year. (See Ed. Code, § 44951; *Hayes v. Temecula Valley Unified School Dist., supra,* 21 Cal.App.5th at pp. 746-747 [section 44951 governs the timing and nature of the preliminary notice required before a school district may effect a no-cause reassignment of a school principal].) Plaintiff's allegation that Defendant later failed to "honor the reassignment" does not establish a violation of section 44951 because the statute governs notice of release from an administrative position, not a guarantee of reassignment to a specific future position. Accordingly, the FAC demonstrates compliance with section 44951 rather than a breach of contract or statutory violation.

Thus, the demurrer to the first cause of action is SUSTAINED.

<u>Second Cause of Action for Intentional Infliction of Emotional Distress (IIED)</u>

To prevail on an IIED claim, plaintiff must prove: “(1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant's outrageous conduct.” (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050.)

To recover for intentional infliction of emotional distress, the employer's actions must be shown to be “so extreme and outrageous as to go beyond all possible bounds of decency, and to be regarded as atrocious, and utterly intolerable in a civilized community.” (*Alcorn v. Anbro Eng., Inc*. (1970) 2 Cal.3d 493, 499, fn. 5 [“vituperative language or vindictive conduct” must be shown]; *Vasquez v. Franklin Mgmt. Real Estate Fund, Inc*. (2013) 222 Cal.App.4th 819, 832.) “Outrageous conduct does not include trivialities such as indignities, annoyances, hurt feelings, or bad manners that a reasonable person is expected to endure.” (CACI 1602; see also BAJI 12.74.)

The FAC alleges Plaintiff repeatedly reported concerns regarding the alleged misuse of CTE grant funds to multiple District officials, including her supervisor, the Assistant Superintendent of Educational Services, the Director of Business Services, and the Superintendent. (FAC ¶¶ 8-12.)

Within 48 hours of raising those concerns with the Director of Business Services, Plaintiff was called into a meeting with Human Resources and her supervisor, where she was “shamed” for contacting the Superintendent, verbally reprimanded for raising concerns regarding grant funds, threatened with “more severe disciplinary action,” told reporting concerns was a “bad look for someone with aspirations,” and warned, “You don't want this to go into an investigation.” (FAC ¶ 13.) Plaintiff’s supervisor thereafter canceled regular meetings and failed to complete her performance evaluation. (Ibid.)

The district administrators repeatedly dismissed Plaintiff’s concerns, blamed Plaintiff for reporting them, and demonstrated that they “valued what [they] considered loyalty over professional competence and integrity.” (FAC ¶¶ 14-15.)

In March 2024 Plaintiff was informed she was being “demoted” from her administrative position and reassigned to another position. (FAC ¶ 16.)

Despite previously being informed she would be reassigned for the following school year, she was later told she would not be offered any position for the 2024-2025 school year and District officials refused to acknowledge the inconsistency between that decision and the reassignment letter previously provided to her. (FAC ¶¶ 17-19.)

Plaintiff’s employment ended on June 30, 2024. (FAC ¶ 20.)

The FAC fails to adequately allege facts demonstrating “extreme and outrageous conduct.” The allegations concern workplace criticism, reprimands, retaliation, reassignment, demotion, and termination arising from the employment

		relationship. (FAC ¶¶ 8-20.) However, personnel management actions, including criticism, discipline, reassignment, demotion, and termination, generally do not constitute conduct "so extreme and outrageous as to go beyond all possible bounds of decency." (See *Hughes v. Pair, supra,* 46 Cal.4th 1035, 1051 [insults, indignities, threats or annoyances]; *Shoemaker v. Myers* (1990) 52 Cal.3d 1, 25 [discipline and criticism]; *McCoy v. Pacific Maritime Ass'n* (2013) 216 Cal.App.4th 283, 295 [isolation and ostracism]; *Janken v. GM Hughes Electronics* (1996) 46 Cal.App.4th 55, 80 [discriminatory personnel management decisions].) The alleged conduct arose from personnel management decisions and workplace supervision within the employment relationship, which generally cannot support an IIED claim. Thus, the demurrer to the second cause of action is SUSTAINED. Should Plaintiff wish to file an amended complaint that addresses the issues in this ruling, Plaintiff must file and serve it within 15 days of service of notice of ruling. Defendant to give notice.
54	**Evergreen Capital, LLC vs. Ball** **25-01535288**	**Motion to Expunge Lis Pendens** The Motion to Expunge Lis Pendens brought by SJO Investments, LLC dba Superior Homebuyers, LLC is MOOT, in part, and GRANTED, in part. It is undisputed this motion has been partially rendered MOOT, by the subsequent withdrawal of the relevant Lis Pendens. (See Opposition: 2:5-7 and Exhibit D attached thereto; See also Reply: 19-20.) Nonetheless, competing requests for attorneys' fees remain, which require examination of the merits of the underlying Lis Pendens. (See *Castro v. Superior Court* (2004) 116 Cal.App.4th 1010, 1021-1022.) The Court finds the Notice of Pendency of Action recorded as Document Number 2025000338655 was improperly recorded and GRANTS attorneys' fees to SJO Investments, LLC dba Superior Homebuyers, LLC, in the amount of $3,250.00. (Code Civ. Proc., § 405.38.) The competing request for attorneys' fees made by Evergreen Capital, LLC, is DENIED. The unopposed Request for Judicial Notice filed by SJO Investments, LLC is GRANTED, pursuant to Evidence Code section 452, subdivision (h). (*Poseidon Development, Inc. v. Woodland Lane Estates, LLC* (2007) 152 Cal.App.4th 1106, 1117.) The relevant Notice of Pendency of Action was improperly recorded on December 5, 2025 (See Exhibit 1 of RJN [ROA No. 12]), prior to the initiation of this action on December 22, 2025. (See ROA No. 2; See also Code Civ. Proc., § 405.20 and *Manhattan Loft, LLC v. Mercury Liquors, Inc.* (2009) 173 Cal.App.4th 1040, 1051.) In addition to the above, the Notice of Pendency of Action was not properly served or filed. While the Notice of Pendency attaches a Proof of Service, which attests to mail service on Rinn W. Ball and Rosina M. Ball, prior to the recordation: (1) Moving party was not included within the service; and (2) The service was not completed via registered certified mail, as required. (Code Civ.

		Proc., § 405.22.) The above violations justify expungement. (See Code of Civ. Proc., § 405.23 and *McKnight v. Superior Court* (1985) 170 Cal.App.3d 291, 303; See also *Rey Sanchez Investments v. Superior Court* (2016) 244 Cal.App.4th 259, 263.) Finally, claimant Evergreen Capital, LLC, has not established the probable validity of any real property claim. "In proceedings under this chapter, the court shall order that the notice be expunged if the court finds that the claimant has not established by a preponderance of the evidence the probable validity of the real property claim." (Code Civ. Proc., § 405.32.) "Probable validity," with respect to a real property claim, "means that it is more likely than not that the claimant will obtain a judgment against the defendant on the claim." (Code Civ. Proc., § 405.3.) Code of Civil Procedure section 405.32 "requires a 'judicial evaluation of the merits' of a claimant's case." (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 651.) While a claim for specific performance on a contract to purchase real property is indisputably a real property claim (*De Martini v. Superior Court* (2024) 98 Cal.App.5th 1269, 1278), Plaintiff offers only an unauthenticated document, which purports to bear the electronic signatures of Defendant Rosina Ball and "Riin Ball," to support the same. (See Exhibit A to Opposition [ROA No. 26].) As noted by Plaintiff, a contract is required to state a claim for specific performance. (*Real Estate Analytics, LLC v. Vallas* (2008) 160 Cal.App.4th 463, 472.) However, absent authentication, there has been no showing an agreement was entered into, between Plaintiff and Defendants Rosina Ball and Riin Ball. Additionally, as noted by moving Defendant, the purported Agreement appears to have been signed *only* by Rosina Ball. (See Exhibit A of the Opposition [ROA No. 26].) Based on all the above, despite the withdrawal, the Motion to Expunge was meritorious and, consequently, attorneys' fees are awarded to SJO Investments, LLC dba Superior Homebuyers, LLC, in the amount of $3,250.00. (Code Civ. Proc., § 405.38.)
55	**Perez vs. Saint John's Knits, Inc.** **25-01523154**	**Motion to Compel Arbitration** The motion of defendant Saint John's Knits, Inc., for an order compelling arbitration of all of the claims in the complaint of plaintiff Cecilia Perez and staying court proceedings pending resolution of that arbitration is GRANTED. Plaintiff has filed a notice stating that she does not oppose the motion. The Court vacates the Case Management Conference set for September 18, 2026 and sets a Review Hearing re: Arbitration for November 13, 2026 at 8:30 AM in Department C16. Parties are ordered to file a joint status report no later than 15 days prior to the hearing addressing the status of the arbitration.

56	**Lehman vs. All Known and Unknown Claimants to 17121 Palmdale Lane, Huntington Beach, California 92647, Including the Estate of Leif Gyldstrand, Successor Trustees, Heirs** **25-01533470**	**Motion to Quash Service of Summons** The motion of specially appearing defendant Melissa Gyldstrand for an order quashing service of the summons and complaint is off-calendar as MOOT. Plaintiff Travis Lehman dismissed this specially appearing defendant from the action without prejudice on May 18, 2026.
57	**La Paz Village Investors, LLC vs. Orange County Realtors, Inc.** **26-01538551**	**Motion for Preliminary Injunction & Motion for Temporary Restraining Order** Plaintiff/Cross-Defendant La Paz Village Investors, LLC ("LPVI")'s Motion for Preliminary Injunction (ROA 22) is GRANTED in part. Defendant/Cross-Complainant Orange County Realtors ("OCR") Application for Preliminary Injunction (ROA 44) is also GRANTED in part. *The Motions:* LPVI seeks a preliminary injunction ordering OCR and all of its agents, contractors, representatives, employees and all persons acting in concert with it to (1) prevent OCR from further altering the status quo as it existed when this lawsuit was filed, (2) prevent OCR from engaging in any construction, on or within the boundaries LPVI's property located at 25250, 25252, 25254, and 25758 La Paz Road, Laguna Hills, California (APNs 620-211-09, 620-211-15, 620-211-17 and 620-211-18, respectively) (collectively, the "LPVI Property"), (3) prevent OCR from further violating, interfering, or obstructing LPVI's easement for ingress and egress over OCR's property at 25552 La Paz Road, Laguna Hills, California (APN 620-211-19), (4) prevent OCR from further depriving LPVI of the benefits of prevailing in this action, and (5) require OCR to immediately remove all encroachments, improvements, construction materials, fencing, and other physical intrusions that OCR has placed or caused to be placed on the LPVI Property and within the LPVI Easement, and to restore the affected areas to pre-encroachment condition. OCR moves for a preliminary injunction ordering LPVI and Nicholas Buchanan not to interfere with OCR's efforts to remove construction debris and allegedly vandalized wall bracing, fill and remediate an open trench, repair damaged asphalt, and otherwise remediate the disputed construction area to address what OCR contends is an ongoing public safety hazard. OCR also seeks permission to complete the remediation work while providing indemnity and additional insured protections to LPVI during the work. *The Legal Standard Applicable to Injunctive Relief:* "The general purpose of a preliminary injunction is to preserve the status quo pending a determination on the merits of the action. [Citation.] ' "The granting or

		denial of a preliminary injunction does not amount to an adjudication of the ultimate rights in controversy. It merely determines that the court, balancing the respective equities of the parties, concludes that, pending a trial on the merits, the defendant should or ... should not be restrained from exercising the right claimed by him." ' [Citation.]" (*SB Liberty, LLC v. Isla Verde Assn., Inc.* (2013) 217 Cal.App.4th 272, 280.) The trial court weighs two interrelated factors in determining whether to issue a preliminary injunction: "[T]he likelihood the moving party ultimately will prevail on the merits, and the relative interim harm to the parties from the issuance or nonissuance of the injunction." (*Hunt v. Superior Court* (1999) 21 Cal.4th 984, 999.) In an action between adjoining landowners based on the defendant constructing an improvement on the plaintiff's property, the plaintiff is generally entitled to a mandatory injunction requiring the defendant to remove the encroachment. (See *Nellie Gail Ranch Owners Assn. v. McMullin* (2016) 4 Cal.App.5th 982, 1003.) *LPVI's Complaint:* The Complaint asserts cause of action for trespass, trespass to easement, nuisance and declaratory relief. An action for trespassing protects the possessor's interest in exclusive possession of the land and is based on unlawful interference with that possession. Mere intentional entry upon land, without more, may constitute a trespass. (*Donahue Schriber Realty Group, Inc. v. Nu Creation Outreach* (2014) 232 Cal.App.4th 1171, 1177-1178 [essence of trespass claim is unauthorized entry onto land of another].) The elements of a trespass claim are: "(1) the plaintiff's ownership or control of the property; (2) the defendant's intentional, reckless, or negligent entry onto the property; (3) lack of permission for the entry or acts in excess of permission; (4) harm; and (5) the defendant's conduct was a substantial factor in causing the harm." (*Ralphs Grocery Co. v. Victory Consultants, Inc.* (2017) 17 Cal.App.5th 245, 262.) "A trespass is an invasion of the interest in the exclusive possession of land, as by entry upon it . . . A nuisance is an interference with the interest in the private use and enjoyment of the land and does not require interference with the possession." (*Rancho Viejo, LLC v. Tres Amigos Viejos, LLC* (2002) 100 Cal.App.4th 550, 562.) *LPVI's Evidence in Support of its Motion:* Initially, the Court notes that LPVI objected to the Declaration of Elisabeth Barndt (ROAs 132 and 136) as well as the Declaration of Dave Stefanides (ROA 131). The objections are OVERRULED. Although certain portions of the challenged material may be inadmissible on one or more of the asserted grounds, the objections are directed to entire paragraphs rather than to the specific objectionable material. "It is settled law that where evidence is in part admissible, and in part inadmissible, the objectionable portion cannot be reached by a general objection to the entire [evidence], but the inadmissible portion must be specified." (*People v. Harris* (1978) 85 Cal.App.3d 954, 957; see also *Walls v. Macy's* (1964) 226 Cal.App.2d 29, 30.) LPVI owns four contiguous commercial parcels located at 25250, 25252, 25254, and 25758 La Paz Road in the City of Laguna Hills, Orange County, California

		(APNs 620-211-09, 620-211- 15, 620-211-17, and 620-211-18, respectively) (collectively, the "LPVI Property"). (Declaration of Nick Buchanan ["Buchanan Decl."], ¶¶ 2, 3.) OCR owns the parcel immediately to the west of the LPVI Property at 25552 La Paz Road, Laguna Hills (APN 620-211-19) ("OCR Property"), where OCR's headquarters is located. (Buchanan Decl., ¶ 5.) The OCR Property is bounded by La Paz Road to the north and MacKenzie Street to the west. (Declaration of Dane McDougall ["McDougall Decl."], ¶ 5.) The LPVI Property and OCR Property parcels (collectively the "Parties' Properties") are encumbered by mutual, recorded ingress/egress easements that have governed access between the Parties' Properties for many years. (Buchanan Decl., ¶ 6.) Specifically, LPVI holds an ingress/egress easement over the OCR Property for the benefit of the LPVI Property (the "LPVI Easement"). The LPVI Easement allows vehicular access from parking lot drive aisles on the LPVI property onto and across the OCR Property. Without this easement, vehicles cannot exit the parking lot drive aisles on the LPVI Property or circulate through the parking lot. (McDougall Decl., ¶¶ 6, 7.) OCR holds discrete access easements for ingress/egress over the LPVI Property for the benefit of the OCR Property (the "OCR Easements"), which run across three parking lot drive lanes on Parcel Four of the LPVI Property (APN 620-211-17). (Buchanan Decl., ¶ 6.) When LPVI initially purchased the LPVI Property in spring 2022, it did so with the express purpose of developing a portion of the shopping center as a new senior residential development (Buchanan Decl. ¶ 2.) On September 23, 2025, the City of Laguna Hills City Council approved entitlements for LPVI's 180-unit senior housing project (the "Senior Housing Project"). (Id. at ¶ 3.) Throughout the entitlement process, LPVI and OCR initially maintained a constructive working relationship. (Buchanan Decl., ¶ 8.) Beginning in July 2025, LPVI was actively seeking to execute agreements relating to the previously discussed proposals of relocating the OCR Easements, which lie within the footprint of the Senior Housing Project, to other feasible locations on the LPVI Property, so that the Senior Housing Project could proceed while maintaining access to the OCR Property. (Id. at ¶ 9.) By October 2025, OCR abandoned collaborative discussions and instead demanded concessions from LPVI, including the demolition of an existing tenant building, to improve OCR's own access—a demand that bore no relationship to any easement right OCR possessed. (Id. at ¶ 10.) On or about October 8, 2025, LPVI's manager Buchanan made a site visit to the LPVI Property and discovered that OCR had undertaken, without notice, permission, or license, extensive and invasive construction activities directly on the LPVI Property. (Buchanan Decl., ¶ 11.) The unauthorized activities included the installation of concrete formwork on the LPVI Property excavation of a large portion of LPVI's driveway at La Paz Road, staging of construction vehicles and equipment on the LPVI Property and placement of construction fencing on the LPVI Property, erected in a manner that completely blocked access to the LPVI Easement, preventing vehicles from using the easement for circulation through the shopping center parking lot. (Ibid.) On or about October 9, 2025, the City posted a "Stop Work Order" on OCR's construction, citing the impermissible trespass on the LPVI Property. (Buchanan Decl., ¶ 11.)

LPVI repeatedly attempted to resolve OCR's unlawful encroachments without court intervention. (Buchanan Decl. ¶¶ 13-15, Exhs. 3-4.)

In February 2026, LPVI retained Dane McDougall, a licensed civil engineer and land surveyor, to conduct a field investigation of the property boundary and easement location. (McDougall Decl., ¶¶ 2-3, 8.)

On February 18, 2026, McDougall performed a thorough field investigation utilizing standard and accepted civil engineering and surveying practices, including recovery of boundary monuments, measurement of record bearings and distances, and verification of occupation lines. He also took drone footage over both properties to document the construction activities. (Id. at ¶¶ 6, 8-10.)

His investigation included review of recorded grant deeds, tract/parcel maps, assessor's parcel maps, and construction drawings obtained from the City of Laguna Hills through a Public Records Act request. (Id. at ¶ 9.)

McDougall's professional opinions, stated to a reasonable degree of engineering certainty, are as follows:

- The true and correct boundary between the LPVI Property and the OCR Property is as depicted on Exhibit 2 to his Declaration. (Id. at ¶ 13.)
- The LPVI Easements are accurately depicted on Exhibit B. (Id. at ¶ 13.)
- OCR's construction improvements, specifically a parking island and parking spaces, encroach on the LPVI Easements to a degree that would materially impede, if not render impossible, the use of those easements for ingress and egress. (Id. at ¶ 14.)
- OCR's improvements extend across the true boundary and encroach upon the LPVI Property, including wooden formwork and chain link fencing, asphalt removal and "sawcutting" away existing pavement, and construction materials that are stored in the LPVI Property, such as palletized concrete pavers. (Id. at ¶ 15.)
- Construction activity was ongoing within the encroachment area as of February 18, 2026. (Id.)

On February 18, 2026, the same day McDougall conducted his field investigation, Buchanan made another site visit to the LPVI Property and discovered that OCR's construction fencing had blown over onto the LPVI Property as a result of a storm. (Buchanan Decl., ¶ 17.) More critically, Buchanan discovered that OCR had resumed active construction and was in the process of constructing permanent obstructions over the LPVI Easement that would preclude access at the north end of that easement. (Id. at ¶¶ 17-18.)

The resumption of construction activities poses an existential threat to the operations at the LPVI Property and to LPVI's ability to secure construction financing for the approved Senior Housing Project. (Id. at ¶ 18.)

As recently as March 9, 2026, 7-Eleven provided notice to LPVI of early closure of its lease at the LPVI property. (Id. at ¶ 21, Ex. 5.) This was unexpected, as in September 2025, prior to OCR's trespasses, LPVI and 7-Eleven had been in discussion to extend the 7-Eleven lease at the LPVI Property, even reaching an agreement in principle to extend the lease for another ten years, with an escalating rent schedule. (Id. at ¶ 22.) OCR's encroachment on the LPVI Easement and its construction has particularly impacted 7-Eleven and its customer's ability to access the parking lot. (Id.)

		OCR's Opposition: OCR opposes the motion contending the dispute is not really about trespass or easement obstruction, but rather LPVI's attempt to pressure OCR into relinquishing longstanding easement rights needed to access OCR's property so LPVI can proceed with its proposed residential development. OCR contends Buchanan initially consented to the temporary encroachments associated with OCR's remodeling project and only objected after OCR refused to surrender or relocate its easements. (Declaration of Elisabeth Barndt ["Barndt Decl."], ¶¶ 10, 16, 24.) OCR further argues the alleged encroachments were temporary, traffic circulation was never materially impaired, and no ongoing construction remains. (Barndt Decl., ¶¶ 15, 17-20, 23, 26.) According to OCR, the only remaining issue is remediation of the trench and wall area, which OCR has repeatedly offered to complete at its own expense while providing indemnity and insurance protections. (Barndt Decl., ¶¶ 7, 8, 22, 26.) OCR therefore contends that LPVI cannot establish irreparable harm and that the only injunctive relief warranted is an order permitting OCR to enter the property to complete remediation and restoration work. (Barndt Decl., ¶ 26.) *Ruling on LPVI's and OCR's Motions:* LPVI has demonstrated a reasonable likelihood of prevailing on its trespass and nuisance claims. Under California law, a property owner is generally entitled to injunctive relief requiring removal of encroachments, and the balancing of hardships doctrine applies only in limited circumstances, particularly where the encroacher acted innocently. (See *Nellie Gail Ranch Owners Assn. v. McMullin, supra,* 4 Cal.App.5th at pp. 1003-1005.) Here, LPVI has presented evidence that OCR conducted construction activities within LPVI's property and easement areas notwithstanding LPVI's objections and a city-issued stop work order. (Buchanan Decl., ¶ 11; McDougall Decl., ¶¶ 13-15.) OCR disputes the extent of the alleged encroachments and contends certain temporary intrusions associated with its remodeling project were known to and consented to by Buchanan. (Barndt Decl., ¶¶ 10, 16, 24.) However, Buchanan, in his supplemental declaration, disputes OCR's assertion that any consent was given and states the construction activities appeared without prior notice, permission, license, or indemnity agreement. (Supplemental Declaration of Nick Buchanan, ¶¶ 6-7.) Based on the above, the Court finds that LPVI has made a sufficient showing on its trespass and nuisance claims to warrant interim injunctive relief preserving the status quo. LPVI has also demonstrated relative interim harm if injunctive relief is not granted, including alleged interference with shopping center operations, tenant relations, refinancing efforts, and the approved senior housing project. (Buchanan Decl., ¶¶ 18-22.)

However, OCR in support of its opposition to LPVI's motion and its own motion for injunctive relief, submits evidence that active construction has ceased, traffic circulation has been restored, and the remaining dispute primarily concerns remediation of the trench and wall area. (Barndt Decl., ¶¶ 17-23, 26.) OCR also submits evidence that the existing trench, wall bracing, debris, and damaged asphalt conditions present ongoing safety and liability concerns requiring prompt remediation. (Barndt Decl., ¶¶ 7, 8, 22, 26.) OCR represents it repeatedly offered to remediate the area at its own expense while providing indemnity and insurance protection, but the parties were unable to reach agreement concerning access and remediation. (Barndt Decl., ¶¶ 7, 8, 22, 26.) Thus, OCR's requested relief substantially overlaps with the relief LPVI seeks.

Balancing the parties' competing interests, it appears the equities favor preserving the status quo pending adjudication of the parties' property and easement rights by prohibiting further construction, expansion of improvements, or additional encroachments within the subject area. However, the evidence reflects that the current trench, wall bracing, debris, and damaged asphalt conditions present ongoing safety and liability concerns warranting prompt remediation. Under these circumstances, allowing OCR limited access for remediation and restoration work appears appropriate, subject to reasonable conditions regarding the scope of work, timing, insurance, and indemnity protections.

To this end, the parties are ordered to meet and confer about the parameters, scope, timing, contractor access, insurance requirements, and indemnity provisions applicable to the remediation and restoration work. The parties shall file a **joint** proposed order consistent with this ruling no later than **June 22, 2026**. If the parties are unable to reach an agreement, the parties shall file a Notice stating that they were unable to file a joint proposed order. Upon receipt of this Notice, the Court will set an Order to Show Cause as to why the Court should not appoint a referee, pursuant to CCP § 639, for the purpose of determining facts relevant to the remediation and restoration work that shall be completed as quickly and efficiently as possible as set forth in this ruling.

As the Court's tentative ruling is to grant both parties request for preliminary injunctive relief, the proposed order must also address the bond requirement. When a preliminary injunction is granted, the court must require an undertaking (Code Civ. Proc., § 529), or allow a cash deposit in lieu thereof (Code Civ. Proc., § 995.710). (*Stevenson v. City of Sacramento* (2020) 55 Cal.App.5th 545, 555—requirement of filing an undertaking is the "default rule.") Because the bond requirement is mandatory, defendant's failure to request a bond does not waive the requirement. (*ABBA Rubber Co. v. Seaquist* (1991) 235 Cal.App.3d 1, 10.) But the bond requirement may be waived or forfeited by the party to be enjoined: "Anyone may waive the advantage of a law intended solely for their benefit." (Civ.C. § 3513; see Smith v. Adventist *Health System/West* (2010) 182 Cal.App.4th 729, 740—implied waiver or forfeiture found where defendant (party to be enjoined) consciously chose not to address bond requirement at preliminary injunction hearing, as part of a tactical decision to focus on arguments that would result in preliminary injunction being denied.)

The Clerk is instructed to give notice.

61	**Santos vs. Ford Motor Company** **23-01343403**	**Motion for Summary Judgment and/or Adjudication** Defendant Ford Motor Company's ("Ford") motion for summary judgment is GRANTED. "Summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Civil Proc. Code, § 437c, subd. (c).) "A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, . . . or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. (Civil Proc. Code, § 437c, subd. (f)(1).) A "party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact . . . ." (*Aguilar v. Atlantic Richfield Co*. (2001) 25 Cal.4th 826, 850.) "A prima facie showing is one that is sufficient to support the position of the party in question." (*Id*. at 851.) A defendant moving for summary judgment satisfies the initial burden by submitting undisputed evidence "showing that a cause of action has no merit [because] one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action." (Civil Proc. Code § 437c, subd. (p)(2); *Aguilar v. Atlantic Richfield Co*., *supra*, 25 Cal.4th at pp. 850-51.) However, "[t]he defendant must indeed present evidence." (*Aguilar v. Atlantic Richfield Co*., *supra*, 25 Cal.4th at p. 855, italics original.) If a defendant fails to meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. (*Binder v. Aetna Life Ins. Co*. (1999) 75 Cal.App.4th 832, 840.) If the moving party meets its burden, the burden then shifts to the party opposing summary judgment to show, by reference to specific facts, the existence of a triable, material issue as to a cause of action or an affirmative defense. (*Aguilar v. Atlantic Richfield Co*., *supra*, 25 Cal.4th at p. 855; *Villacres v. ABM Industries, Inc*. (2010) 189 Cal.App.4th 562, 575.) On July 1, 2022, the lease for the Subject Vehicle, a 2020 Ford Explorer, VIN No.: 1FM5K8GC5LGB11813, was transferred from the original lessee, Michael D. Hadley, to Plaintiff Adam S. Santos with the consent of Ford Motor Credit Company. (Biemann Decl. ¶ 4, Exh. 3 [ROA 128]; Plaintiffs Additional Facts No. 1 [and evidence cited therein].) Plaintiffs purchased the vehicle out of the lease agreement on December 16, 2022. (Ford Separate Statement No. 2 [and evidence cited therein].) The Subject Vehicle had approximately 21,152 miles at the time of Plaintiffs' purchase. (*Id*.) In the Complaint, Plaintiffs allege they entered into a warranty contract with Defendant Ford Motor Company ("Ford") for a 2020 Ford Explorer. (Compl. ¶ 9.) The warranty contract contained various warranties, including but not limited to the bumper-bumper warranty, powertrain warranty, emission warranty, etc. (Id. at ¶ 10, Exh. A.)

		The Complaint alleges defects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to, transmission defects, engine defects, electrical defects, body defects; among other defects and non-conformities. (Compl. ¶ 14.) The Complaint further alleges Ford is a "manufacturer" and/or "distributor" under the Song-Beverly Act and asserts causes of action against Ford for: (1) violation of Civil Code section 1793.2(d); (2) violation of Civil Code section 1793.2(b); (3) violation of Civil Code section 1793.2(A)(3); (4) breach of the implied warranty of merchantability; and (5) fraudulent inducement—concealment. (See Compl. and ¶ 11.) Plaintiffs seek general, special, and actual damages according to proof, restitution, consequential and incidental damages, damages for diminution in value, a civil penalty of two times Plaintiff's actual damages, prejudgment interest, attorneys' fees and costs, and other unspecified relief. (Compl., Prayer for Relief.) "The Song-Beverly Act is a remedial statute designed to protect consumers who have purchased products covered by an express warranty." (*Robertson v. Fleetwood Travel Trailers of California, Inc.* (2006) 144 Cal.App.4th 785, 798.) The Act "provides enhanced remedies to consumers who buy new consumer goods accompanied by a manufacturer's express warranty …. (§ 1793.2.) … The same protections generally apply to the sale of used goods accompanied by an expressed warranty, except that the distributor or retail seller is bound, as opposed to the manufacturer …." (*Kiluk* v. *Mercede-Benz USA, LLC* (2019) 43 Cal.App.5th 334, 336 [footnote omitted].) <u>First Cause of Action for Violation of Subdivision (d) of Civil Code Section 1793.2; Second Cause of Action for Violation of Subdivision (b) of Civil Code Section 1793.2; and Third Cause of Action for Violation of Subdivision (a)(3) of Civil Code Section 1793.2</u> Ford contends Plaintiffs cannot establish a cause of action against Ford under the Song-Beverly Act, because Plaintiffs took over the lease of a used Subject Vehicle on July 1, 2022 and subsequently purchased the used vehicle on December 22, 2022. Ford did not provide a new warranty for the Subject Vehicle in the transactions in which Plaintiffs took title to the Subject Vehicle. The first cause of action alleges Ford violated Civil Code section 1793.2, subdivision (d) by failing to either "promptly replace the Vehicle or make restitution." (Compl. ¶ 38.) The second cause of action alleges Ford failed to commence service or repairs within a reasonable time and failed to service or repair the Subject Vehicle so as to confirm to the applicable warranties within 30 days, in violation of section 1793.2, subdivision (b). (Compl. ¶ 44.) The third cause of action alleges Ford violated section 1793.2, subdivision (a)(3) by failing to make available to its authorized service and repair facilities sufficient service literature and replacement parts to effect repairs during the express warranty period. (Compl. ¶ 49.) Section 1793.2 of the Song-Beverly Act is titled "Consumer good manufacturers; express warranties; service and repair facilities." (Civ. Code, § 1793.2.) Subsection (b) requires a manufacturer to "service[ ] or repair[ ] goods" in conformance with "the applicable warranties within 30 days." (*Id*. at 1793.2, subd. (b).) Subdivision (a)(3) requires "manufacturer[s] of consumer goods ... for which the manufacture has made an express warranty" to "[m]ake available to authorized service and repair facilities sufficient service literature and replacement parts to effect repairs during the express warranty period." (*Id*. at § 1793.2, subd. (a)(3).) Section 1793.2, subdivision (e)(2) defines " 'new motor

vehicle' " to include "a new vehicle 'bought or used primarily for personal purposes' as well as 'a dealer-owned vehicle and a "demonstrator" or other motor vehicle sold with a manufacturer's new car warranty.' " (*Rodriguez v. FCA US LLC* (2024) 17 Cal.5th 189, 195.)

The Song-Beverly Act defines the parties who issue warranties as follows. A manufacturer is an entity "that manufactures, assembles, or produces consumer goods." (Civ. Code, § 1791, subd. (j).) A distributor is an entity "that stands between the manufacturer and the retail seller in purchases, consignments, or contracts for sale of consumer goods." (*Id*. at § 1791, subd. (e).) A seller or retailer is an entity "that engages in the business of selling or leasing consumer goods to retail buyers." (*Id*. at § 1791, subd. (*l*).)

In *Rodriguez v. FCA US LLC*, the California Supreme Court resolved an issue of statutory construction and concluded that, "a motor vehicle purchased with an unexpired manufacturer's new car warranty does not qualify as a 'motor vehicle sold with a manufacturer's new car warranty' ... unless the new car warranty was issued with the sale." (*Id.* at p. 196.) Thus, under *Rodriguez*, the buyer of a previously-owned, used vehicle that is not sold with a manufacturer's new car warranty is not entitled to the Song-Beverly Act's enhanced refund-or-replace remedy. *Rodriguez* made clear that an unexpired manufacturer's new car warranty does not qualify as a new car warranty under the Song-Beverly Act unless it was issued at the time of the sale of the Subject Vehicle. (See *Rodriguez*, *supra*, 17 Cal.5th at pp. 195-96.)

Undisputed evidence shows Plaintiff took over the lease of the Subject Vehicle from Michael Hadley and converted the lease to a purchase when the lease term expired. (Ford Separate Statement Nos. 1-2 [and evidence cited therein]; Plaintiffs Additional Facts No. 1 [and evidence cited therein].) Ford has submitted evidence that the Subject Vehicle was not a certified pre-owned vehicle or that a new warranty was issued to Plaintiffs. (Ford Separate Statement Nos. 5-7 [and evidence cited therein].)

Under *Rodriguez*, Plaintiffs cannot establish their first cause of action against Ford for a refund of the purchase price or a replacement of the used Subject Vehicle. Similarly, *Rodriguez* applies to Plaintiffs' second and third causes of action, which also were brought under the Song-Beverly Act. The "overall framework of the Song-Beverly Act … distinguishes between new and used products and calibrates manufacturers' and sellers' obligations accordingly." *(Rodriguez, supra,* 17 Cal.5th, at p. 200.) " ' "Consumer goods" means any *new product* or part thereof that is used, bought, or leased for use primarily for personal, family, or household purposes, except for clothing and consumables.' (§ 1791, subd. (a).)" *(Rodriguez, supra,* at p. 200.) The Subject Vehicle is not a "new motor vehicle" for purposes of the Song-Beverly Act because it was not leased or sold to Plaintiffs with a new car manufacturer's warranty. Ford has met its initial burden to show Plaintiffs cannot establish a necessary element of their first, second, and third causes of action.

Plaintiffs assert that they received the same warranties as the original lessee because they assumed the original lease. (See Plaintiffs Additional Facts No. 2 [and evidence cited therein].) Thus, Plaintiffs argue, Plaintiffs inherited the original lessee's right to sue under the Song-Beverly Act through the transfer of the lease.

In *Dagher v. Ford Motor Co.* (2015) 238 Cal.App.4th 905, the plaintiff bought a pre-owned truck manufactured by Ford Motor Company ("Ford") in a private

		sale, which came with the transferable, unexpired express warranty issued to the private party sellers upon their purchase of the truck, new, from a Ford dealer. (*Id.* at pp. 910-911.) The plaintiff later had trouble with the vehicle's engine and brought it in for warranty repairs numerous times. (*Id.* at p. 912.) The plaintiff was not satisfied with the repair attempts and sued Ford under the Song-Beverly Act. (*Id.*) The Court of Appeal affirmed the trial court's grant of summary judgment in favor of Ford. (Id.) The *Dagher* court concluded the plaintiff was "not entitled to … coverage by the Act" (*id.* at p. 922) as a "buyer" under section 1791, subdivision (b) because he "acquired the used truck from private parties" who were "not routinely engaged in … a 'retail' business …." (*Id.* at p. 923.) After determining the plaintiff was not a buyer within the meaning of the Song-Beverly Act, the *Dagher* court rejected the plaintiff's argument that the Act's statutory remedies were transferred to him along with the express warranty rights. (*Dagher, supra*, 238 Cal.App.4th at p. 925-927.) The court concluded, "Even though assignability of a claim is the rule, highly personalized rights of recovery are not assignable. [Citation.] Likewise, the Act specifies in great detail those types of buyers and sellers who are subject to its provisions, and only those buyers and sellers can properly assert its protections." (*Id*. at p. 926.) Therefore, the court reasoned, the "transfer of a written warranty did not effectively also transfer the original buyers' right to sue under the Act, because the Act defines standing to obtain the additional protections that it provides in a different manner, by restricting the types of sellers and goods, as well as buyers, that qualify for its protection." (*Ibid.*) Plaintiffs contend the right to sue under the Song-Beverly Act was transferred to them because the Plaintiffs assumed the lease and converted the lease to purchase. As the *Dagher* court observed, however, the rights Plaintiffs seek to enforce are statutory. Thus, Michael Hadley's transfer of his interests in the lease to Plaintiff "did not effectively also transfer [his] right to sue under the Act." (*Dagher, supra*, 238 Cal.App.4th at p. 926.) In *Rodriguez v. FCA US LLC,* (2024) 17 Cal.5th 189, the California Supreme Court confirmed that: "[A] motor vehicle purchased with an unexpired manufacturer's new car warranty does not qualify as a 'motor vehicle sold with a manufacturer's new car warranty' under section 1793.22, subdivision (e)(2)'s definition of 'new motor vehicle' unless the new car warranty was issued with the sale." (*Id*. at p. 196.) Here, Plaintiffs agreed to lease the Subject Vehicle pursuant to Mr. Hadley's original terms with Ford's express consent. The record before the court does not reflect that a new warranty of any kind was issued in the lease transfer. Thus, applying *Dagher* and *Rodriguez*, Plaintiffs are not the lessees or purchasers of "new motor vehicle" within the meaning of the Song-Beverly Act. (*Dagher*, *supra*, 238 Cal.App.4th at p. 925-927; *Rodriguez*, *supra*, 17 Cal.5th at p. 196.) <u>Fourth Cause of Action for Breach of the Implied Warranty of Merchantability</u> "[E]very sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer's and the retail seller's implied warranty that the goods are merchantable." (Civ. Code, § 1792; see also Civ. Code, § 1791.1.) " "'Consumer goods" means any new product or part thereof that is used, bought, or leased for use primarily for personal, family, or household purposes, except for clothing and consumables."' (Civ. Code § 1791.)" (*Kiluk v. Mercedes-Benz USA, LLC* (2019) 43 Cal.App.5th 334, 339.)

		“The Song-Beverly Act provides similar remedies in the context of the sale of used goods, except that the manufacturer is generally off the hook: ‘Notwithstanding the provisions of subdivision (a) of Section 1791 defining consumer goods to mean “new” goods, the obligation of a distributor or retail seller of used consumer goods in a sale in which an express warranty is given shall be the same as that imposed on manufacturers under this chapter except: [¶] (a) It shall be the obligation of the distributor or retail seller making express warranties with respect to used consumer goods (and not the original manufacturer, distributor, or retail seller making express warranties with respect to such goods when new) to maintain sufficient service and repair facilities within this state to carry out the terms of such express warranties.’ (§ 1795.5, subd. (a).)” (*Kiluk*, *supra*, at p. 339.) “[T]he assumption baked into section 1795.5 is that the manufacturer and the distributor/retailer are distinct entities. Where the manufacturer sells directly to the public, however, it takes on the role of a retailer.” (*Id*., at p. 340.) Thus, “in the sale of used consumer goods, liability for breach of implied warranty lies with distributors and retailers, not the manufacturer, where there is no evidence the manufacturer played any role in the sale of the used car to plaintiff.” (*Nunez v. FCA US LLC* (2021) 61 Cal.App.5th 385, 398.) The undisputed facts discussed above establish that the Subject Vehicle is a used vehicle and Ford, the manufacturer, cannot be liable for a breach of the implied warranty. The Complaint does not allege Ford is a retail seller. The pleadings “set the boundaries of the issues to be resolved at summary judgment.” (*Oakland Raiders v. National Football League* (2005) 131 Cal.App.4th 621, 648; see generally *Ann M. v. Pacific Plaza Shopping Center* (1993) 6 Cal.4th 666, 673 [“pleadings serve as the outer measure of materiality in a summary judgment proceeding”].) “The materiality of a disputed fact is measured by the pleadings [citations]....” (*Conroy v. Regents of University of Cal.* (2009) 45 Cal.4th 1244, 1250.) Plaintiffs have not met their burden to show a triable issue of material fact that Ford is a distributor. The motion for summary judgment is GRANTED. Defendant Ford Motor Company to give notice and file a proposed judgment.